THUNDERBIRD
SCHOOL OF GLOBAL MANAGEMENT

TB0262

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Southwest Airlines 2011
Teaching Note

This case deals with Southwest Airlines (Southwest) and the reasons for its success in an unattractive industry. Southwest has been very successful with its low-fare, short-haul strategy. Southwest was one of the few major U.S. airlines to consistently earn an operating profit. As Southwest neared its 40th year of service, the company was facing some major challenges. Legacy carriers in the United States had become more efficient, and the recent mega-mergers involving Delta/Northwest and Continental/United were shaking up the industry. Smaller companies like JetBlue and Allegiant were pressuring Southwest's cost advantage and low-fare focus. A major internal challenge for Southwest would be managing its acquisition of AirTran, a deal announced in late 2010. Would Southwest be able to maintain its unique competitive position?

Teaching Objectives

This case illustrates how a firm can be successful in an inherently unattractive industry. Southwest has been profitable and expanding for many years, and has been able to maintain a low-cost position despite many potential imitators. The case illustrates the importance of a unique activity system and the difficulty of imitating the entire system. The case can also be used to review industry structure, generic strategies, and the importance of internal and external consistency in creating a strategy. Finally, the case drives home the important links between internal organizational factors and strategic choices.

Assignment Questions

1. Is the U.S. airline industry attractive?
2. Describe Southwest Airlines' strategy. What are the most important strategic choices?
3. What is unique about the Southwest strategy?
4. How easy would it be to imitate this strategy?
5. Is the strategy sustainable? What threats are on the horizon?
6. Should Southwest become an international airline?

Suggested Teaching Approach

Begin with a discussion of the U.S. airline industry. The objective is to establish four points:

1. The industry is unattractive because of high customer bargaining power, powerful suppliers, and low barriers to entry.
2. The high fixed costs in the industry make it highly susceptible to industry downturns (e.g., recession of 2008-09) and profit-destroying price competition.
3. It is very difficult to differentiate airline service.
4. Low cost is the key to success.

Move on to Southwest and ask why Southwest is successful. This usually leads to a long list of operational factors (737s, no meals, etc.). Then ask if Southwest has a differentiation advantage. This opens a discussion about the cost vs. differentiation tradeoff and the difficulty of differentiating airline service. Then shift the discussion to internal factors with the objective of linking the operational factors with Southwest's superior execution and productivity. Next, discuss risks in the strategy and the potential for successful imitation. Conclude with a discussion about what Southwest should do in the future. Time permitting, the instructor may provide a mini-lecture on fuel hedging as part of the operations of an airline and discuss the rise of low-cost airlines around the world.

Suggested Reading

M. E. Porter, "What is Strategy?" Harvard Business Review (November-December 1996), pp. 61-78. This article includes a discussion of Southwest.

Videos

Several interesting videos can be found on YouTube, including a portion of a recent speech by Herb Kelleher in which he discusses leadership and strategy at Southwest (Kelleher: Agent of Airline Change http://www.youtube.com/watch?v=1zN-5VNc0D4). A 60 Minutes video from October 1989 also provides a good historical overview.

Analysis

1. **Airline Industry**
   The case shows detailed financial data for the airline industry. With the exception of Southwest, all of the major airlines have had some bad years. In the 1990s major airlines like Eastern and Pan-American disappeared. Almost all the existing legacy carriers have been through bankruptcy, some of them multiple times. Depending on time and how the instructor uses the case, a five-forces analysis will illustrate the problem. Exhibit TN-1 provides a detailed analysis.

   From the industry analysis, we can conclude that the airline business is unattractive. In the late 1990s and until 2001, profitability had improved because of several factors: low fuel prices, increased demand in a strong economy, and more moderate fleet expansion by the airlines. Nevertheless, price wars continue, and 2001 showed how vulnerable the weaker airlines were. As well, the airlines seem unable to operate with discipline. There are continuous cycles of aggressive purchasing of aircraft, adding new routes, taking on debt, only to be followed by an economic downturn and declining load factors.

   Push hard on the question of why no airline is able to offer a better service that can command a premium price. Where is the innovation in the industry? Responses will include: the airlines cannot control the ground experience; the planes are all the same; travelers will not pay for better service. Given the lack of differentiation, cost becomes the basis for competitive advantage. In this industry, cost is a function of yield management, employee productivity, consistency in service delivery, and route structure.

2. **Cost Structure**
   When asking "what is wrong with this industry," "high fixed costs" is the most common response. In the airline industry, once an airline establishes its route system, most costs are fixed, including aircraft costs, maintenance, labor, IT, landing fees, and regulatory costs. The volume of fuel (running about 30-35% of total OPEX) is fixed, but unless the airline has hedged its fuel purchases, the costs will change. High fixed costs in the airline industry are different from high fixed costs in manufacturing. In manufacturing if there is excess production, the excess can be stored until sold. In the airline industry, excess inventory expires when the plane takes off. As a result, there is a strong motivation to fill the seat as long as the customer is paying more than variable costs. This results in the strange and complex airline pricing policies, all designed to increase load factor (percentage of available seats filled).

   Next, in an introduction of Southwest, emphasize that despite all the problems and challenges in the industry, Southwest has: remained profitable, never had a safety incident that killed a passenger, never had a strike that shut the company down, never had a major layoff, and never been bankrupt. The company is usually at the top of airline service measures such as fewest customer complaints and best on-time arrival and departure record.

3. Southwest Strategy

To examine Southwest's strategy, discuss 4 strategic choices:

a. Strategic Objective

The strategic objective must be consistent with what drives industry value capture. In this industry low cost is paramount and the critical measure is cost per available seat mile (because most costs are fixed). Other performance indicators besides financial performance can also be discussed.

- Safety record
- Age of fleet
- Aircraft utilization (hours of flying)
- Turnaround time
- Passengers per employee
- Growth in fleet and flights
- Employee retention
- Candidates for jobs
- Labor record

b. Market Scope

Begin by developing a list of operational factors:

- All 737s
- Short haul (but getting longer), low fare
- No hubs
- No meals, no assigned seats
- Fast turnarounds at the gate
- No interline baggage handling
- Ticketless travel
- Internet tickets

Examine the target customer and make the connection between the crowded airports of today and Southwest's efforts to democratize the airline industry. Finally, ask what would American or Delta have said about the original Southwest model of no meals, no assigned seats, and low prices. They would have laughed and said, "That will never work." As they learned, you ignore small fast-growing rivals at your peril.

c. Value Proposition

What do customers pay for when they buy a Southwest ticket? It is quite simple: safety, on-time departure and arrival, frequent flights, consistency in service delivery, and a fair price. The instructor may ask, "Is this a unique value proposition to Southwest customers?" The answer is clearly no. This is a basic airline transportation value proposition that will apply anywhere in the world (as can now be seen in the many countries with vibrant and competitive airline sectors).

d. Basis for Uniqueness

Clearly, Southwest is a very successful company based on both financial performance and other measures. Ask the class, "It does not look very complex—what is so hard to imitate?" Some students will say that Southwest has been able to differentiate its service from that of its competitors. There is no question that the service is different. But, are customers willing to pay a premium for Southwest relative to competitors? No, which means that Southwest does not have a competitive advantage based on differentiation. The key to Southwest's success is low cost, which translates into the ability to charge low fares (and win price wars). Southwest has very high labor and fleet productivity and the efficient use of its fleet allows it to offer more frequent flights than most competitors. Therefore, although the service on the plane is limited, the low fares, frequent flights, and on-time arrivals are very attractive. Also, spend some time discussing tradeoffs. If the class has some experienced Southwest customers, they may say they hate Southwest and only fly because their company requires them to do so. The tradeoffs are that there are large sets of travelers who will never fly Southwest: those who want first or business class; those who want assigned seats; those who want a meal; those who do not want to line up early. Southwest has purposefully limited its service and made some tradeoffs that limit the pool of potential customers. Those who fly Southwest know exactly what to expect because the company manages its customers' expectations.

4. **Imitation of Southwest**
   Why is it so hard to imitate Southwest? The strategic choices listed above with respect to market scope and value proposition look obvious. The real key is understanding the execution of the strategy and the resulting operational excellence that is very difficult to imitate. The case provides some examples of airlines that tried to imitate Southwest and were unsuccessful. The objective in dealing with this question is to discuss the importance of the set of activities that underpins the Southwest strategy. In the Porter article "What is Strategy?" there is a chart showing the linkages of the various activities. For example, good labor relations lead to employee productivity, which leads to fast turnaround time, which leads to low cost. Although individually the activities may be imitable, imitating the total set will be very difficult.

   The issue of culture and leadership is central to understanding the difficulty of imitation. Southwest has a strong culture based on performance, fun, discipline, and customer service. Managers are promoted from within. Hiring practices are tied to finding people who fit in the culture. Employees tend to stay at Southwest if they are performing at a satisfactory level. Where does the culture come from and can it be copied? The culture development started more than 40 years ago. The 60 Minutes video provides clues as to where it came from. Copying the culture will be very difficult for a competitor, especially if it requires culture change. Exhibit TN-2 shows the linkages across the various activities tied to operational excellence.

5. **Is the strategy sustainable?**
   At this point, identify the main threats to sustainability:
   - Imitation
   - Change in focus (long haul, international)
   - New CEO messes things up
   - Size: Southwest grows too fast and culture changes
   - Industry structure changes in a way that negatively impacts Southwest
   - Fast growth becomes the objective rather than the previous controlled growth
   - Complacency and resistance to change—most likely this is the most dangerous threat and one to which many successful firms have fallen victim.

Summary Points

1. Most industries provide first-mover advantages.
2. Strategies are best when they are internally consistent and there is a strong fit between customer needs and the internal activity system.
3. Competitive advantage grows out of the entire system of activities; to imitate Southwest means successfully matching the whole system.
4. Tradeoffs: Southwest purposefully limits its level of service and retains its cost leadership position.
5. Organizational culture can be a critical and difficult-to-imitate resource.

What Will Keep Southwest Successful?

1. Southwest continues to delivers something of value to both customers and employees.
2, The company keeps innovating and changing.
3. Growth is carefully managed to ensure that the critical elements of the customer value proposition are not damaged or destroyed.
4. Ensure that the linkages between strategy, culture, and leadership do not break down.

Exhibit TN-1. Five Forces Analysis

	Threat of Substitute Products or Services	• Other transportation modes? Low in US • Loyal customers? Airlines, no; air travel, yes • Switching costs? Out of air travel, yes.
• Inputs: labor, aircraft and airports have high bargaining power • Fuel is a commodity • Inputs standard or differentiated? Standard • Easy to switch between suppliers? No (unions, airports, fuel) • Substitute inputs easily? No • Can suppliers integrate forward? No • Is the business important to suppliers? Yes • Many potential suppliers		
Bargaining Power of Suppliers	Rivalry Among Existing Competitors	Bargaining Power of Buyers
	• Industry growing rapidly? Yes • Difficult to exit? Yes • Customer switching costs—low • Excess capacity in industry—yes • Price important? Yes • Significant product differences? No • Fixed costs high % of total costs? Yes	• Large number of buyers? Yes • Switching costs? Low • Buyer access to information? Yes • Price sensitive? Yes • Products unique or branded? No • Incentives provided? Yes
• Cost advantage for large firms? No • Proprietary product differences? No • Established brand identities? Maybe • Customer switching costs? No • Significant capital required to enter? Yes • Equipment available? Yes • Strong retaliation? Yes • Government approval easy to obtain? Maybe • Access to airports difficult? Yes	Threat of New Entrants	

Exhibit TN-2. Southwest and Operational Excellence